

Focus on Failures

Why do double tops fail? There are many reasons, including a general market that reverses trend. Since a rising tide lifts all boats, your stock may climb with the bull market or falter if the company is struggling. If other stocks in the industry are doing well, that activity will tend to support the stock. Fundamental factors, such as good retail sales, an exceptionally good quarter, insider buying, a stock buyback program, or positive comments about the future made by management will all help boost the stock price. However, the one key element I find time after time is an impenetrable support zone below the chart pattern. [Figure 32.3](#) shows an example.

A support zone forms as far back as January 1997 at about 12.50. I show a portion of the zone's top at the support line (the support line can act as both support and resistance, depending on which way price approaches the line). Peaks in October through November and congestion at B add to the massive support. The support was enough to turn back price at A and stall the downtrend at C. I would expect price to pause there on the way up, too, which it did several times, as late as 2007, a decade after the zone started.